Buy high, sell higher

Final presentation

October 2026

Team Gamma Long

Agenda

Executive summary

Our approach

- Why momentum works, how we pick stocks and how we control risk

Results

- Returns, losses and where the profit came from

Skill or luck

- Random portfolios, other settings and new data

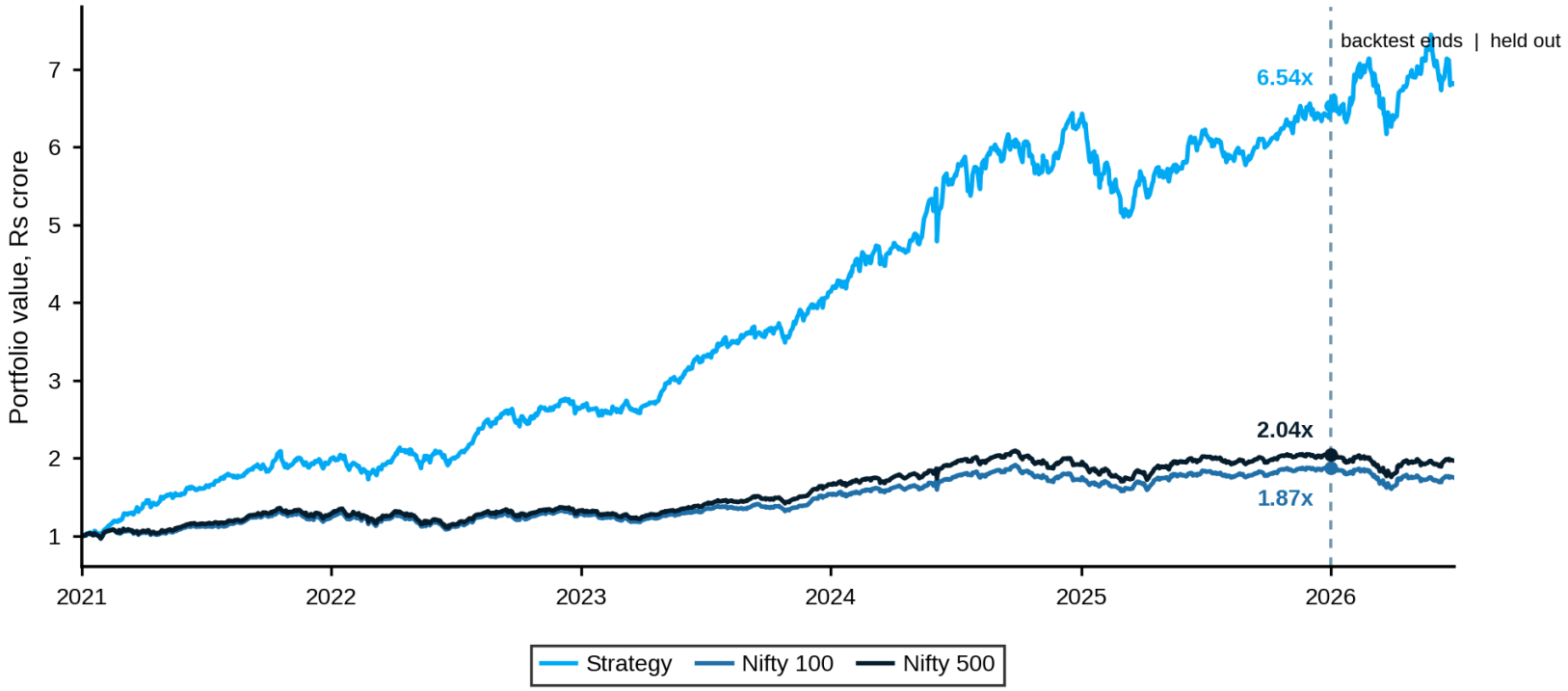
Risks and conclusion

Agenda

Executive summary

Rs 1 crore grew to Rs 6.54 crore over five years

Portfolio value against the Nifty 100 and Nifty 500, Rs crore; January to June 2026 held out



That is 45.6% a year; with other reasonable settings we expect closer to 38%

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

Executive summary

Performance and trading statistics, January 2021 to December 2025

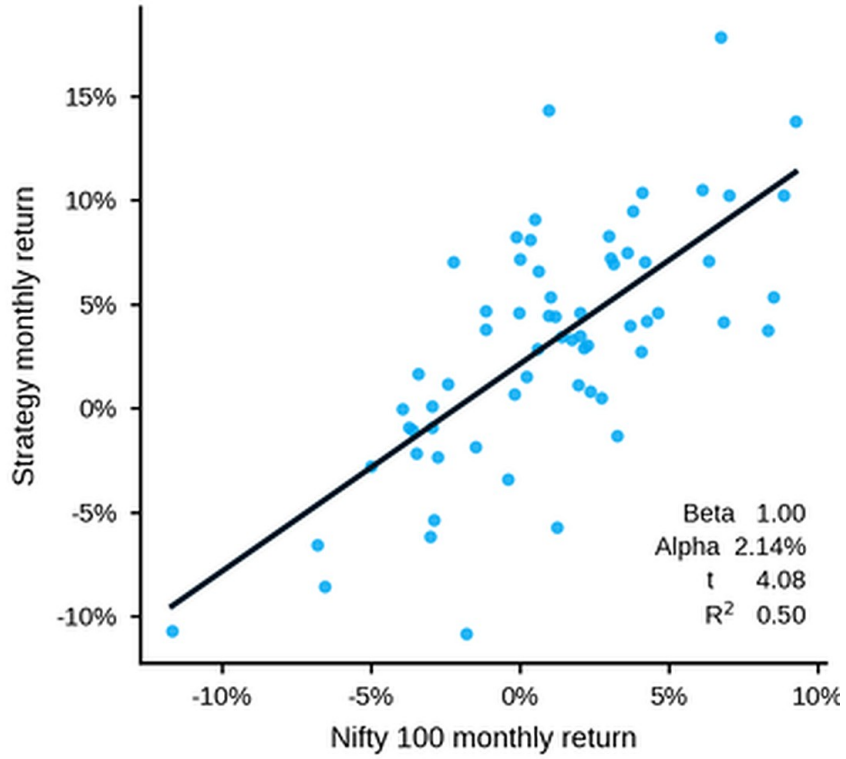
PERFORMANCE METRICS	STRATEGY	NIFTY100	NIFTY500
Final value of Rs 1 crore (Rs cr)	6.54	1.87	2.04
Total net profit (Rs cr)	5.54	0.87	1.04
Absolute return	553.6%	87.1%	104.2%
Annualised return (CAGR)	45.6%	13.4%	15.4%
Maximum drawdown	-20.7%	-17.6%	-18.8%
Annualised volatility	20.1%	14.2%	14.4%
Sharpe (rf 0%)	2.01	0.97	1.09
Sortino (rf 0%)	2.85	1.38	1.51
Calmar	2.20	0.76	0.82
Positive months	74.6%	64.4%	66.1%
Worst month	-10.8%	-6.8%	-7.9%
Out-of-sample	4.2%	-6.6%	-3.7%

TRADING STATISTICS	
Accuracy, profitable trades	62.0%
Round trips	184
Average winning trade	24.9%
Average losing trade	-8.3%
Gain-to-loss ratio	3.00
Transactions	358
Distinct names held	109
Transactions per name	3.3
Value traded (Rs cr)	128.0
Transaction cost paid (Rs lakh)	12.8
Monthly turnover	30.0%
Median holding period (months)	2.1

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

We earned extra return without extra market risk

Monthly strategy return against Nifty 100 return, 65 months



How we measured it

- Monthly strategy returns against Nifty 100 returns, 65 months
- Beta 1.00: the portfolio moves one for one with the market
- Alpha 2.14% a month: the regression intercept, which is Jensen's alpha with a 0% risk-free rate
- t-statistic 4.08: very unlikely to be chance

Same market risk as the index, plus 2.14% a month

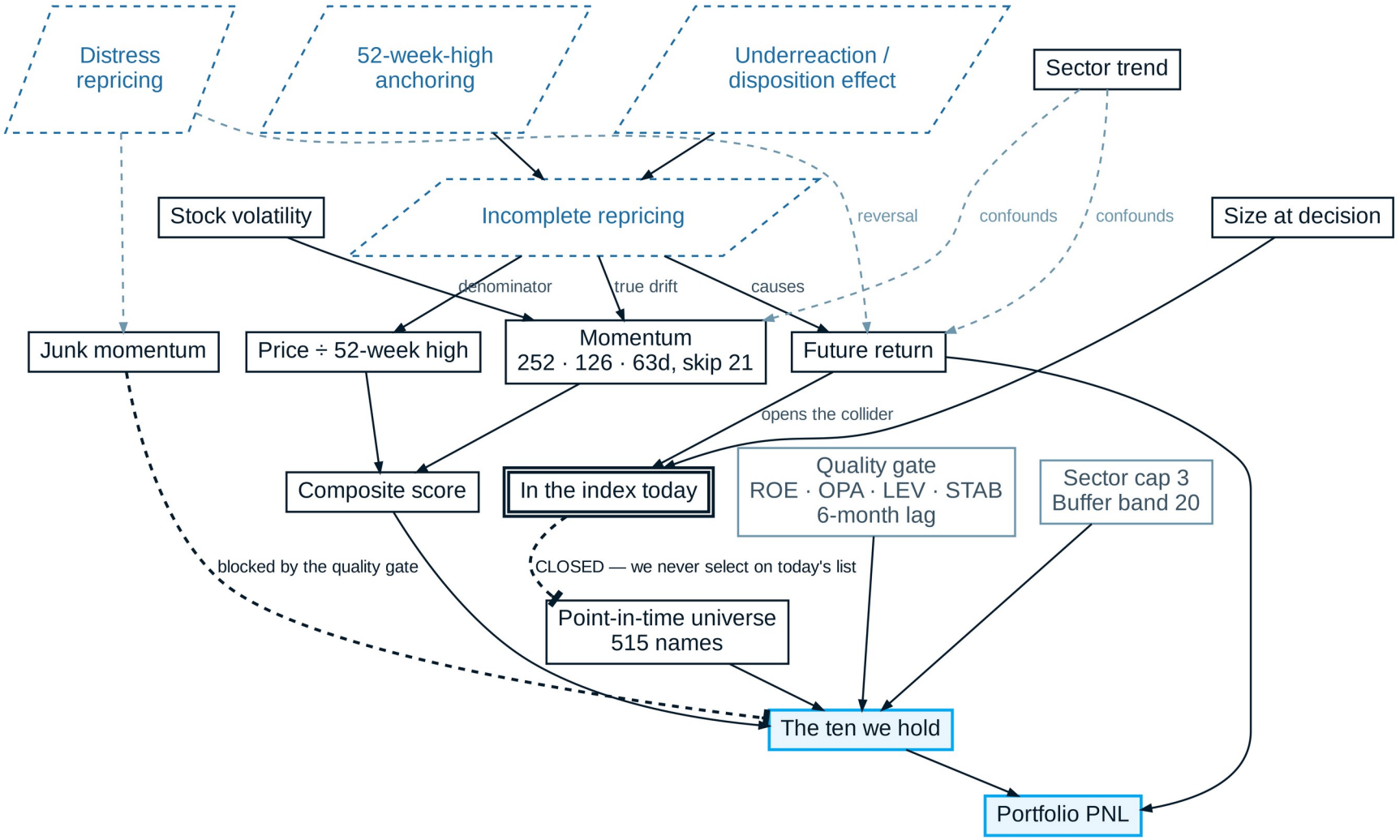
Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

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Our approach

Momentum works because prices react slowly to news

How past returns, future returns and our rules are linked



Source: Jegadeesh and Titman (1993); George and Hwang (2004), Journal of Finance; Gamma Long analysis

There are five rules in our process

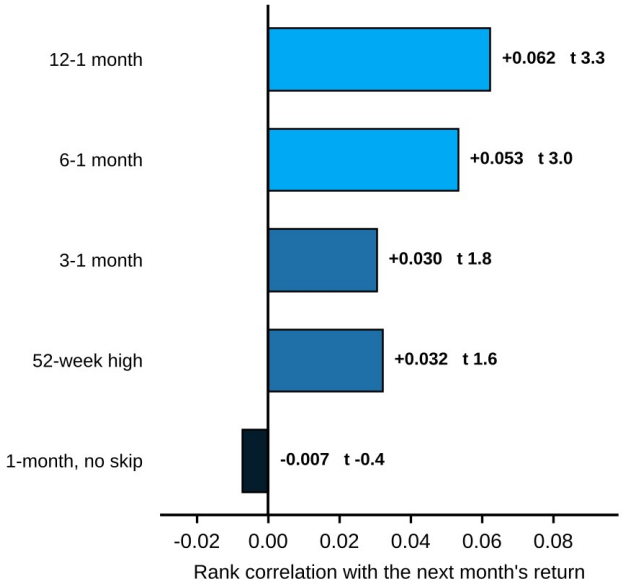
	Rule	Why
1 **Universe**	**Nifty 100, Midcap 100, Smallcap 100** members on each rebalance date	Using today's index list would test **only the stocks that did well**
2 **Tradable**	**1 year** of prices and **Rs 5 crore** median value traded a day	**A year of prices** to measure momentum; **enough trading** to buy and sell easily
3 **Quality filter**	Beat the sector median on **3 of 4**: **return on equity, return on assets, debt, earnings stability**	Removes **weak companies** whose prices are only bouncing back
4 **Score**	**Momentum** over 12, 6 and 3 months **÷ volatility**, plus **52-week high**	**Several readings** of the same trend are **more reliable** than one
5 **Portfolio**	**Top 10** at equal weight, kept while in the **top 20**; at most **3 per industry**	**Fewer trades, lower costs**, no single industry dominates

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

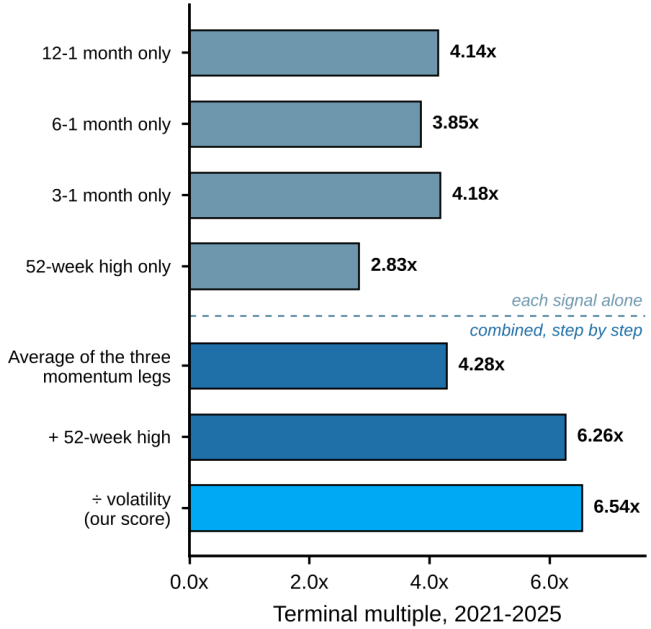
Every part of the score adds to the result

How well each signal predicts next month, and the result of each signal alone and combined

The 12 and 6 month returns predict next month best; the last month does not



Each signal alone, then combined step by step



Combining the signals beats any one of them: 6.54x against 4.18x at best

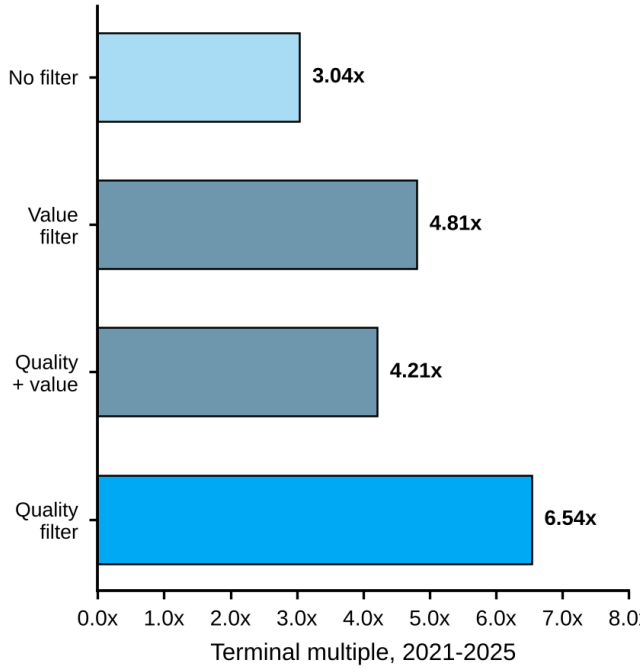
Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

The quality filter more than doubles our result

Final value of Rs 1 crore under different filters, 2021-25

Definition

A stock passes if it beats its sector's median on more than half of: return on equity, operating return on assets, debt and earnings stability



What the chart shows

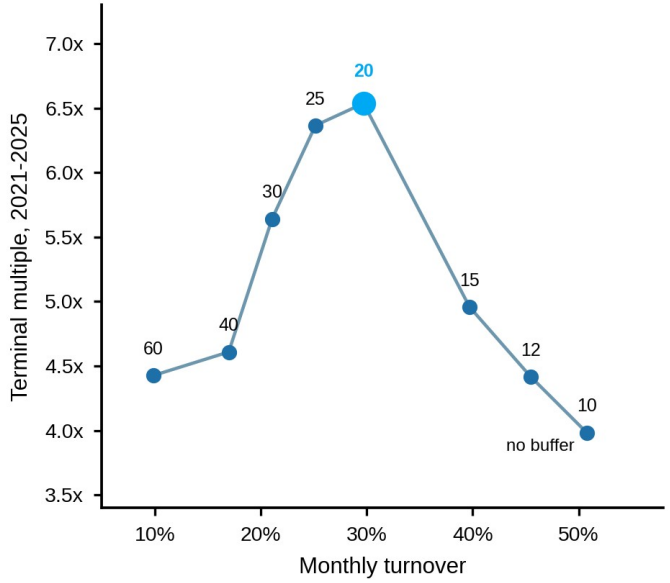
- No filter: Rs 1 crore became 3.04x. With the quality filter: 6.54x
- We also tried a value filter: stocks that are cheap on earnings, book value and sales against their sector
- Value alone helped (4.81x), but using both filters gave 4.21x, less than quality alone
- **So we kept quality only**

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

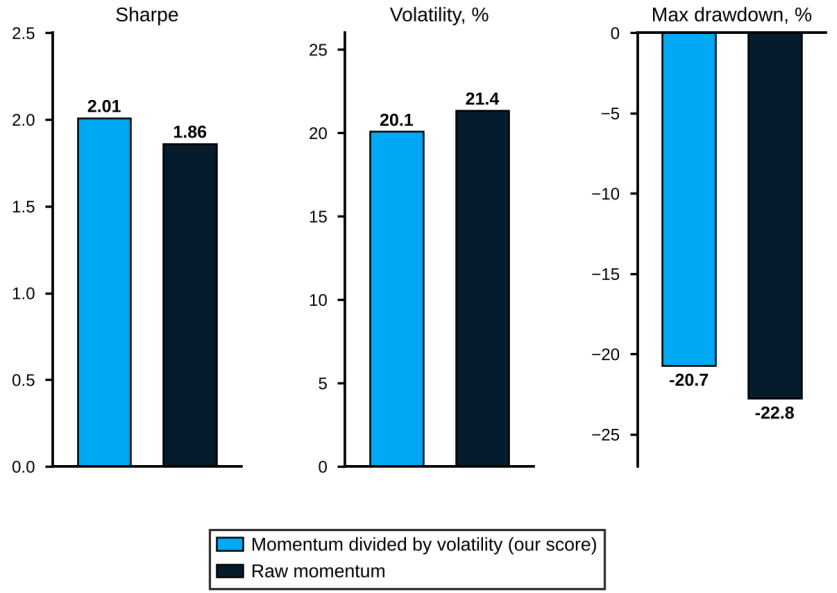
Two portfolio rules reduce trading and risk

Effect of the top-20 buffer and of dividing momentum by volatility

Keeping a stock until it leaves the top 20 cut turnover from 51% to 30% and lifted 3.98x to 6.54x



Dividing momentum by volatility improves Sharpe and drawdown



Every band from 15 to 30 beats no band; we set it at twice our ten holdings

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

We control risk through portfolio rules

No stop-loss and no volatility target; four rules do the work

Volatility adjustment	• Momentum is divided by each stock's volatility • This lowers losses more than it raises returns
Equal weights	• Ten stocks at 10% each • Our score is good at picking stocks, not at sizing them
Industry limit	• At most three stocks from one industry • Limits the effect of a hot industry, which we cannot fully remove
Small-cap limit	• At most five Smallcap 100 stocks • It never applied: the portfolio held 1.9 small caps on average

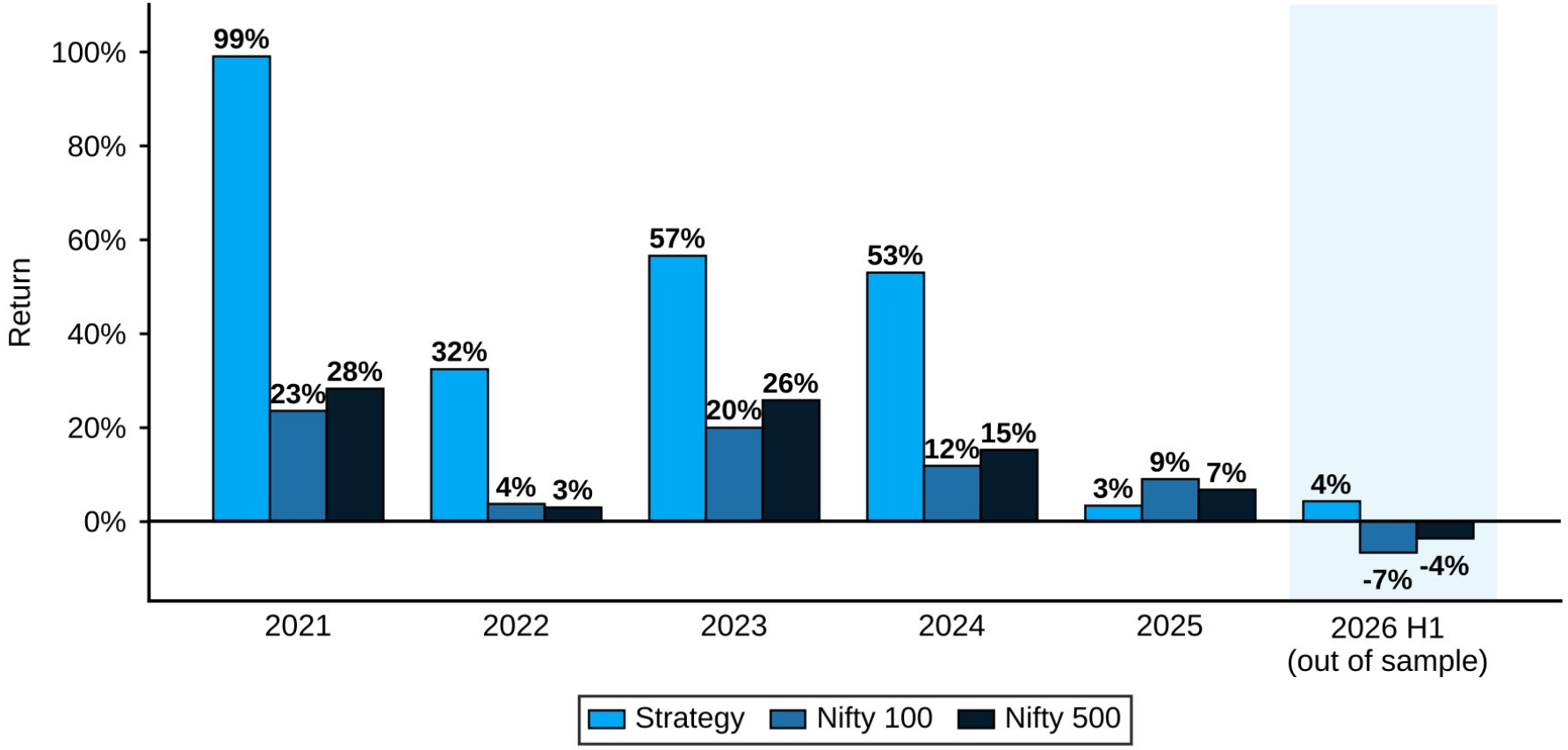
Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

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Results

The strategy made money in every year

Calendar-year return, %; 2026 is January to June and out of sample

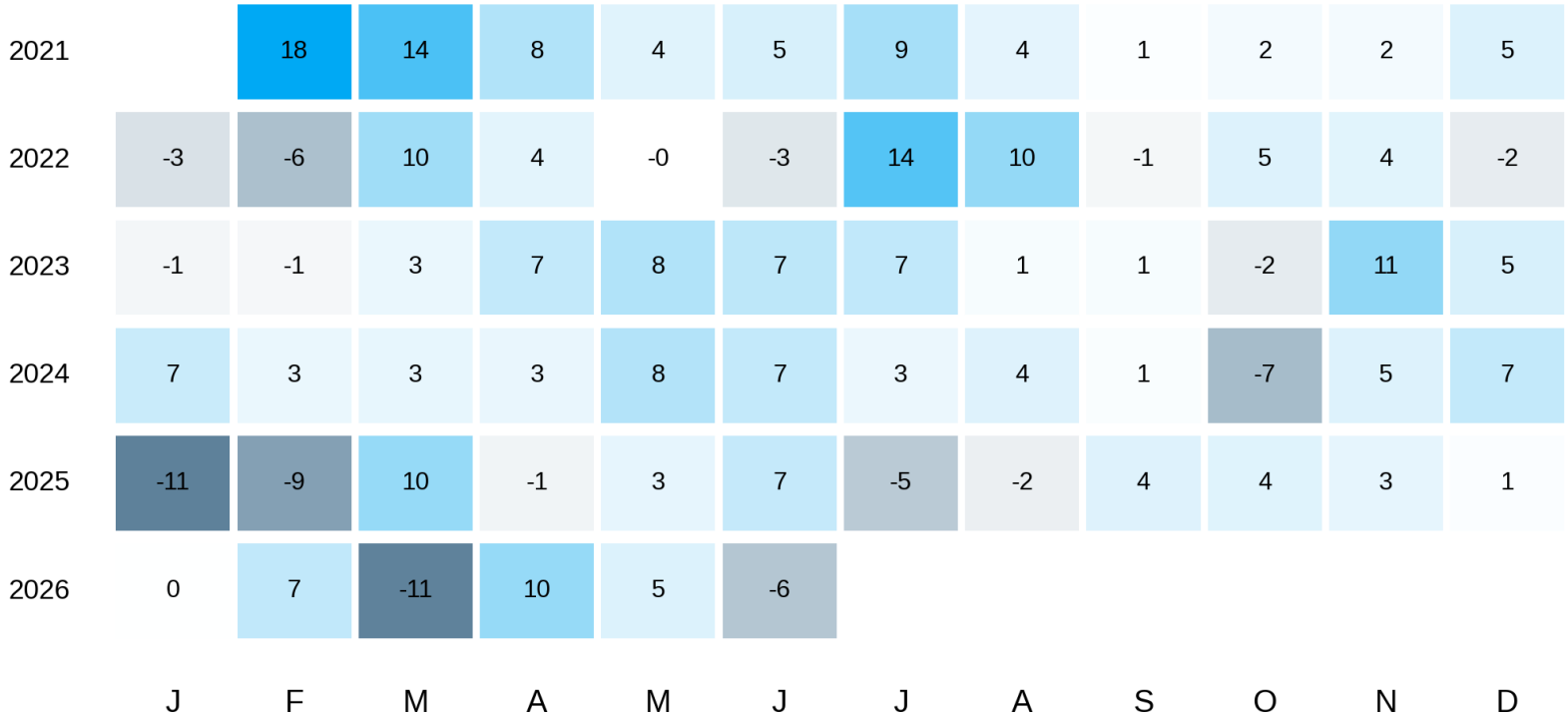


It beat both indices in every year except 2025

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

Most months were positive

Monthly return after costs, %; 48 of 65 months were positive

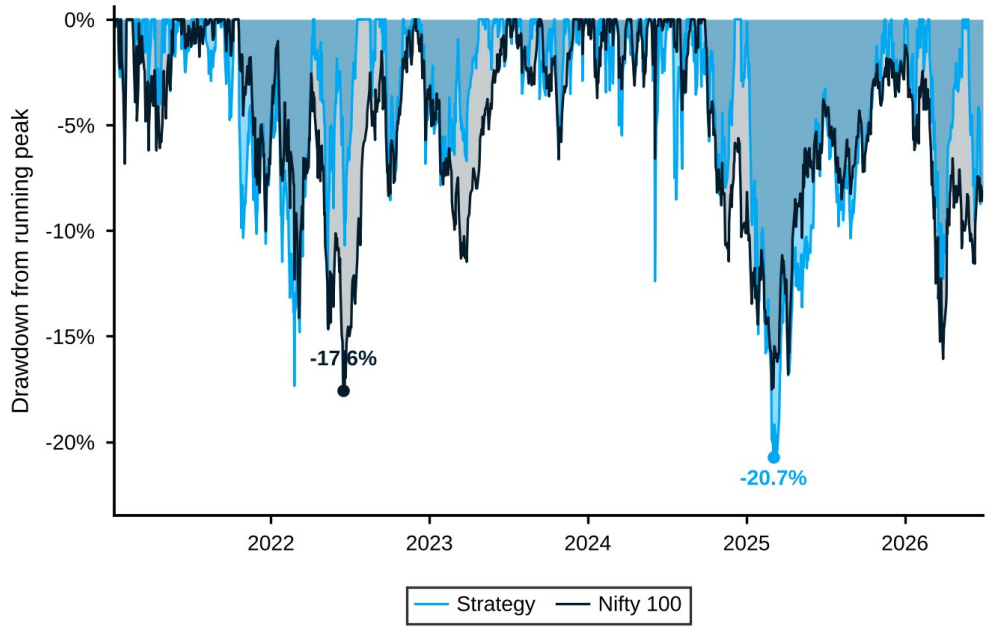


Worst month -10.8%; Nifty 100 -6.8%, Nifty 500 -7.9%

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

The largest fall was 20.7%

Fall from the previous peak, strategy against the Nifty 100, %



The numbers

- Maximum drawdown 20.7%, against 17.6% for the Nifty 100
- Annual volatility 20.1%, against 14.2%
- Worst day: -12.4% on 4 June 2024, when nine of our ten stocks fell 10% to 20% on the election result

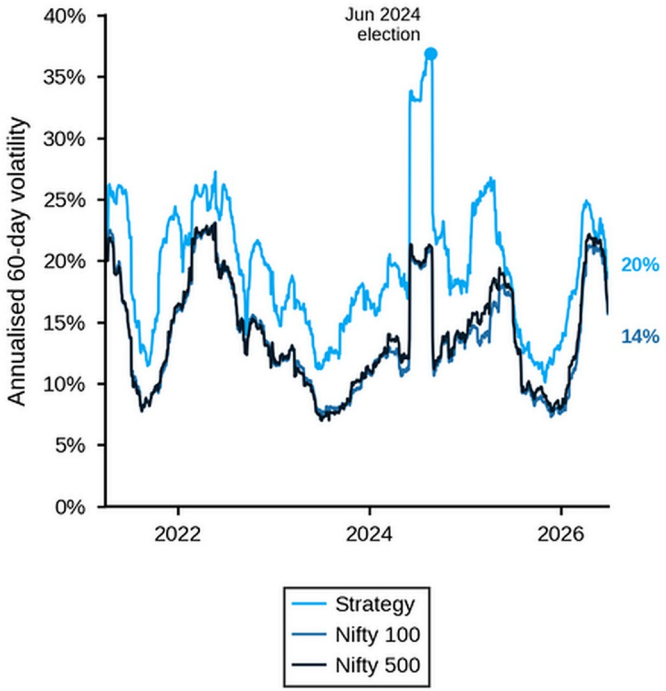
Holding ten stocks limits this risk but does not remove it

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

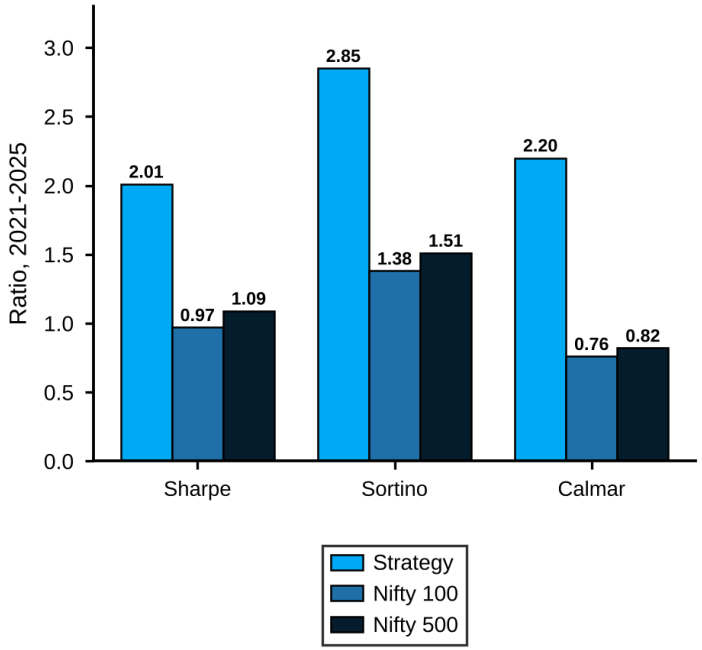
Higher risk, but much better return for that risk

Rolling volatility, and risk-adjusted ratios against both indices

Volatility ran about six points above the Nifty 100 throughout



About double both indices on Sharpe, Sortino and Calmar



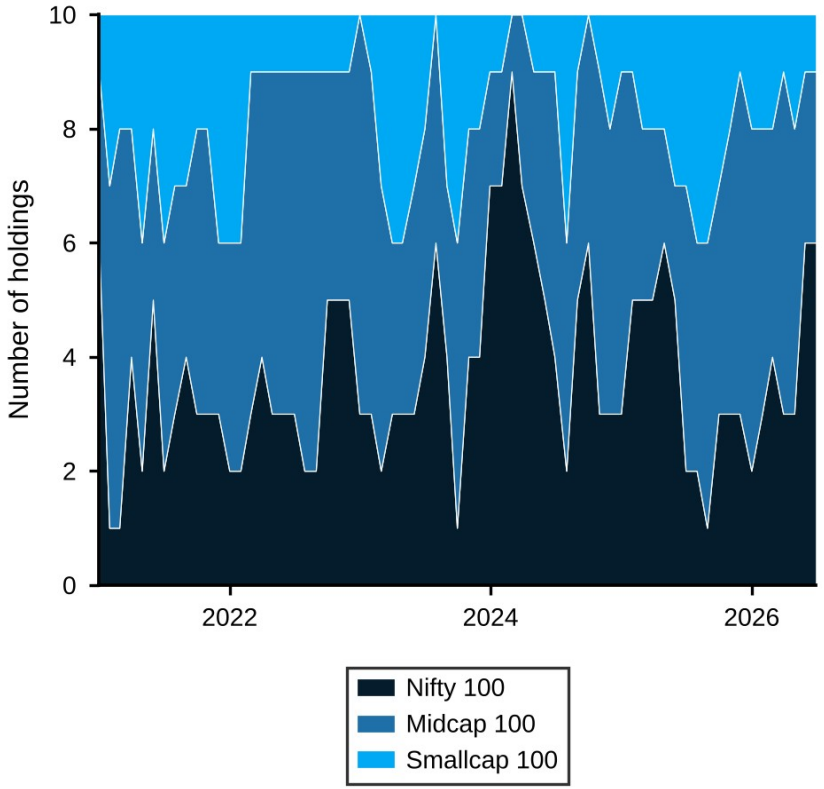
The higher return did not come only from taking more risk

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

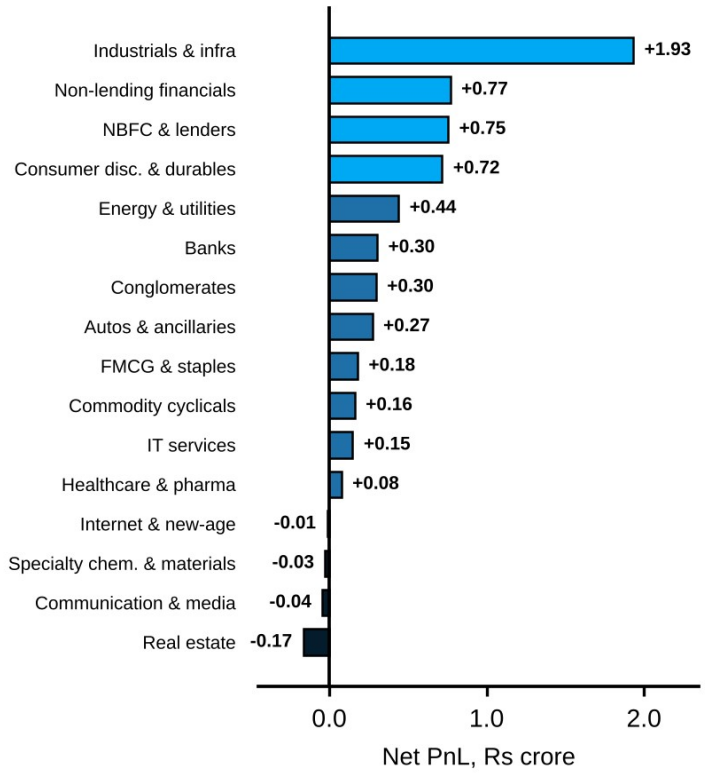
The portfolio was not a small-cap or sector bet

Holdings by index, and net profit by sector, Rs crore

The portfolio held on average 3.7 large, 4.3 mid and 1.9 small caps



16 of 17 sectors were held, and 12 of them made money



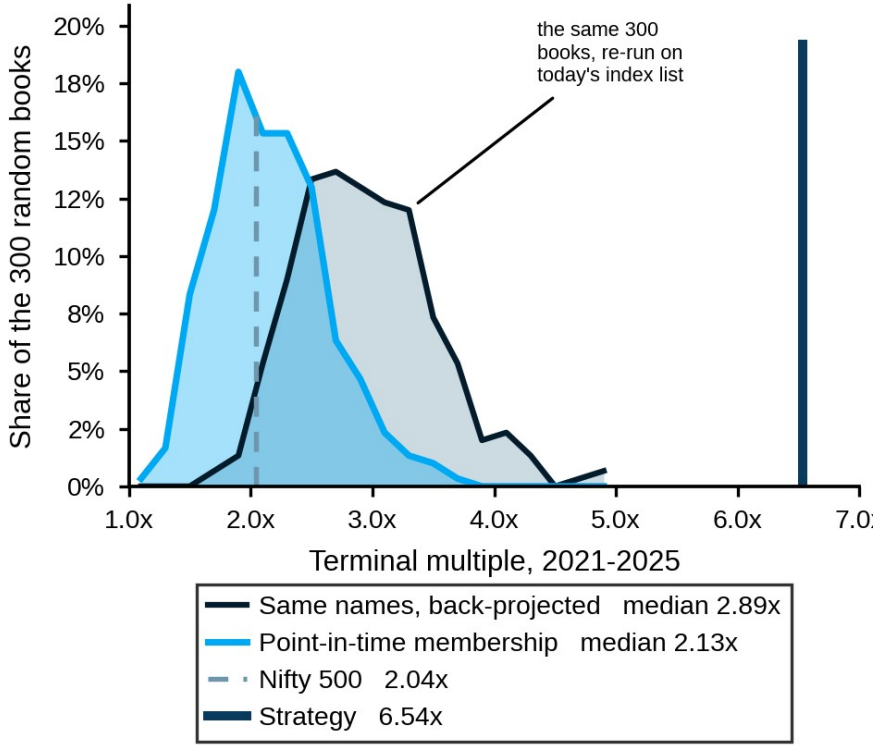
Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

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Skill or luck

Our portfolio beats all 300 random portfolios

Final value of 300 random 10-stock portfolios built from the same stocks



Why random portfolios

- Two-thirds of the stocks we choose from are mid and small caps, so even random picks roughly match the Nifty 500 (2.13x against 2.04x)
- **The fair test is random portfolios from the same stocks, dates and costs. Ours, at 6.54x, beat all 300**
- Using today's index list adds survivorship bias: it keeps the stocks that rose into the index and drops those that fell out
- On today's list the same random portfolios rise to 2.89x, and 97% beat the index

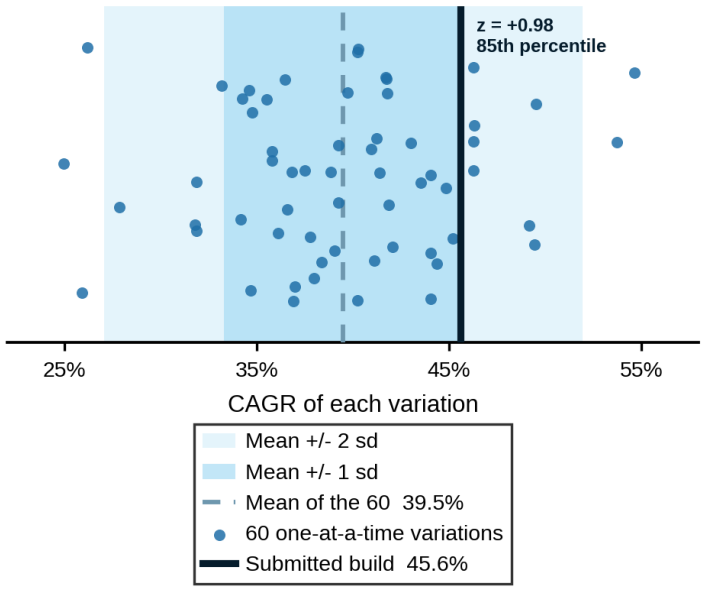
We use the index as it was on each date, so no future winners leak in

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

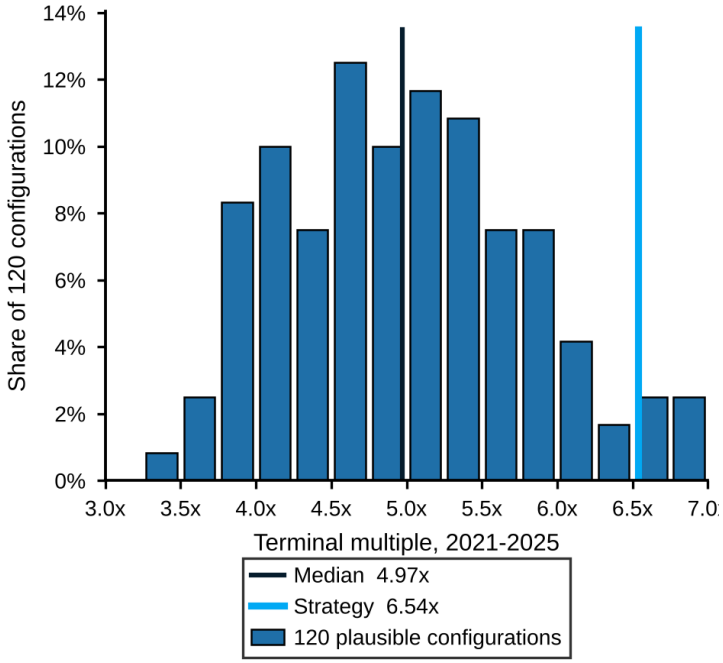
Results hold whether we change one setting or all at once

One setting at a time (60 changes) or all settings at once (120 combinations)

60 one-at-a-time changes: we sit at the 85th percentile



120 settings changed at once: all 120 beat the index



We expect closer to 38% a year than the 45.6% we achieved

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

It made money on six months of new data

Return since 31 December 2025, January to June 2026



Out of sample

- Every setting was fixed using 2021-25 data only
- January to June 2026: strategy +4.2%, Nifty 100 -6.6%, Nifty 500 -3.7%
- Six months is short, but nothing was tuned on it

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

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Risks and conclusion

There are four risks we know about

Risk	What could happen...	...and why
-	Other periods may be less kind to momentum	2021-25 suited this style, which is why we compare against random portfolios, not just the index
-	Ten stocks can fall together	On 4 June 2024 nine of our ten stocks fell 10% to 20%; the portfolio lost 12.4% that day
-	Financial data is the latest restated version	It may differ slightly from what investors saw at the time
-	45.6% is higher than we expect going forward	With other reasonable settings the expected return is closer to 38%

Holding ten stocks spreads these risks but does not remove them

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

Conclusion

Our conclusion: a simple, well-tested strategy that beat the market by a wide margin

Why the strategy works

- Rs 1 crore became Rs 6.54 crore, against Rs 2.04 crore for the Nifty 500
- It made money in every year, with about double the index's return for each unit of risk
- Alpha of 2.14% a month with the same market risk as the index
- Every rule has a clear reason, and each one adds to the result

Why we trust the result

- It beat all 300 random portfolios built from the same stocks
- All 120 alternative settings beat the index
- It made money on six months of new data while both indices fell
- Tested on the index as it was on each date, with no survivorship bias

Ten stocks, one decision a month, and a result that held up in every test we ran

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

Buy high, sell higher

Thank you

October 2026

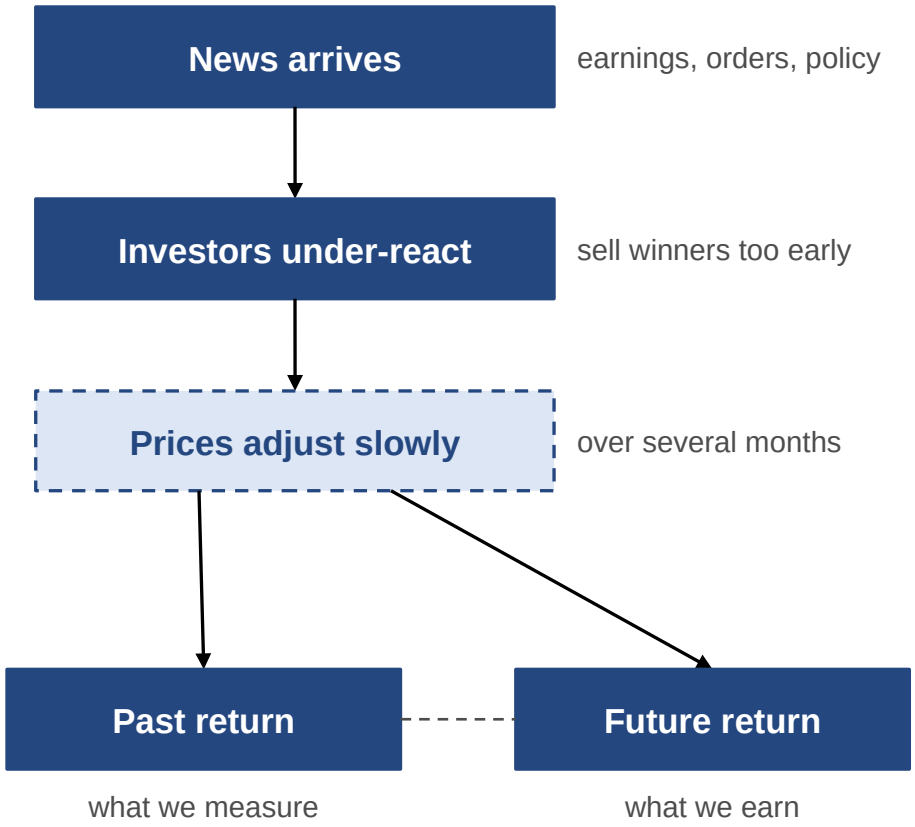
Team Gamma Long

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Appendix

The causal chain in brief

What drives the signal, what can fake it, and how our rules fix it



What we measure

- Returns over 12, 6 and 3 months, divided by volatility
- How close the price is to its 52-week high

What can fake it, and our fix

Survivorship	Point-in-time universe
Junk rallies	Quality filter
Hot industries	At most 3 per industry

Past and future returns move together because both come from the same slow adjustment

Source: Jegadeesh and Titman (1993); George and Hwang (2004), Journal of Finance; Gamma Long analysis

Data and tools

Prices	• Daily closes for 515 symbols from the NSE bhavcopy, August 2019 to June 2026 • Adjusted row by row for splits, bonuses and dividends, so every return is a total return
Fundamentals	• Annual accounts from screener.in, visible only six months after the year end • Return on equity, operating return on assets, leverage and earnings stability
Universe	• Nifty 100, Midcap 100 and Smallcap 100 membership as it stood on each decision date • 515 names were in an index during the window; 213 are absent from today's list
Tools	• Python, pandas, NumPy • Every number in this deck reproduces from our public GitHub repository

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis

How the metrics are measured

Window	• Scoring window January 2021 to December 2025; January to June 2026 held out • Rs 1 crore starting capital; trades at the next day's close, 0.1% cost each way
Ratios	• Sharpe, Sortino and Calmar at a 0% risk-free rate • Calmar is CAGR divided by maximum drawdown
Random books	• 300 ten-stock books from the same universe, dates and costs • Run twice: point-in-time membership and today's index list
Variations	• Sixty one-at-a-time parameter changes, the rest left alone • 120 plausible configurations with every parameter changed at once

Source: NSE bhavcopy; NSE Indices; screener.in; Gamma Long analysis